

Multiple Choice

1. **Answer:** A

Options: A) One can have comparative advantage in producing both goods.; B) One can have both an absolute advantage and a comparative advantage in producing x.; C) One can have absolute advantage and no comparative advantage in producing x.; D) One can have comparative advantage and no absolute advantage in producing x.

Note: Correct option: A - One can have comparative advantage in producing both goods.

2. **Answer:** A

Options: A) the overall national economy and its growth.; B) the impact of government regulations on businesses.; C) the stock market and its fluctuations.; D) the economic impact of natural disasters.; E) government.

Note: Correct option: A - the overall national economy and its growth.

3. **Answer:** A

Options: A) $P = MR = MC = ATC$; B) $P = MR = MC > ATC$; C) $P > MR = MC = ATC$; D) $P = MR > MC = ATC$

Note: Correct option: A - $P = MR = MC = ATC$

4. **Answer:** A

Options: A) Real GDP will decrease.; B) The unemployment rate will increase.; C) The country's trade balance will worsen.; D) The interest rate will decrease.; E) The price level will increase.

Note: Correct option: A - Real GDP will decrease.

5. **Answer:** A

Options: A) 1; B) 2; C) -0.4; D) The autocovariance at lag 1 is undefined for an MA(1) series.; E) 0.2

Note: Correct option: A - 1

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'An increase in total spending that is not the result of an increase in income'.

9. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** Diminishing marginal returns indicate that capital accumulation and population growth alone cannot indefinitely increase output.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** 5 percent \$475 in excess reserves. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key